

TAILORED STRATEGIES FOR WE

1

FOR THE AMBITIOUS CXO (AGE 45)

BUILD WEALTH AGGRESSIVELY

- A high-earning executive, with 15–20 years to grow wealth
- Goal: Maximise returns through high-growth investments

WHY SKIP A SECOND HOME?

- Ties up significant capital with limited growth potential.
- High maintenance costs and low liquidity

SMARTER CHOICES

- Category III Funds: High-risk, high-reward funds designed for growth
- Category I & II Funds: Tap into pre-IPO opportunities and private equity

WHY IT WORKS

- Your long investment horizon lets you weather market ups and downs
- Focus on compounding wealth through high-growth assets

FOR THE SAVVY BUSINESS OWNER (AGE 60)

PRESERVE AND PROSPER

- An entrepreneur prioritising capital safety and steady income in retirement
- Goal: Generate reliable income without stress

76 |

instruments (benefiting from monetary policy transmission with 60% floating rate loans linked to Reserve Bank of India, or RBI, benchmarks), and infrastructure (participating in the government's massive Capex spending)," says Kanchan.

Recent data indicates that while foreign institutional investor (FII) outflows impacted equity markets, domestic demand continues driving consumption sectors. AIFs positioned in these sectors offer HNIs exposure to India's structural transformation beyond traditional real estate cycles.

SIMPLIFYING INHERITANCE

Transferring a physical property to the next generation can be a nightmare. It's an indivisible asset—how do you fairly split a house between three children? AIFs solve this problem. They are financial securities, just like shares.

This means they are perfectly divisible. "You can bequeath exactly 1,357 units to one heir and 2,468 to another with mathematical precision and fairness. The transfer process is simple, and the valuation is transparent, based on the net asset value (NAV)," says Kudva.

Most importantly, wealth remains under professional management, ensuring continuity without burdening the next generation with managing a complex asset. For seamless multi-generational wealth transfers, AIFs are a far more modern and efficient tool.

In fact, modern estate planning demands sophistication that second homes simply cannot match. AIFs offer HNIs unprecedented flexibility in structuring cross-generational wealth transfers.

Unlike immovable property, which faces challenges in equitable distribution among heirs, AIF units can be structured with vary-

ing rights and preferences. "For instance, a family patriarch can allocate growth-oriented Category II AIF units to younger generations while retaining income-generating debt fund units for immediate family needs," says Kanchan.

PRIVATE MARKETS

HNIs choose AIFs because they fill a unique and critical gap in a sophisticated portfolio. Compared to real estate, the advantages are clear: potential for higher returns, professional management, better liquidity and far simpler wealth transfers.

The comparison can extend to public markets like mutual funds or portfolio management services. "While MFs are great for gaining market-linked returns, or beta, AIFs are designed to deliver something more. Category III funds, for example, can use tools like derivatives and short-selling to generate alpha, or returns that are